ANNUAL REPORT 2012

UGANDA SECURITIES EXCHANGE





Listing of Uganda security Exchange at Kampala Serena Hotel.

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About the Exchange

The Uganda Securities Exchange (USE) was established in 1997 as a company limited by guarantee, and was licensed in 1998 by the Capital Markets Authority to operate as an approved securities exchange. The Exchange is governed by a Governing Council whose membership includes licensed broker/dealer firms, investment advisiors, a representative of investors and a representative of issuers.

The Exchange is a central place for trading of securities by licensed brokers/dealers. It provides a credible platform for raising of capita; through the issuance of appropriate debt, equity and other instruments to the investing public. In this way, the Exchange provides essential facilities for the private sector anbd government to raise money for business expansion and enables the public to own shares in companies listed on the Exchange.

Our Vision

“To Develop and Manage the most Efficient, Transparent Securities Market that matches International Standards, and promotes a Partnership with the General Public, Foreign Investors, Institutional Investors, Employees, the Government and other Stakeholders in the Development of Uganda’s Capital Markets Industry.”

Our Mission statement

“To create an efficient and secure East African market place that will enhance the competitive strength of the local capital market in Uganda”.

GOVERNING COUNCIL	Charles Mbire	- Chairman
	Joseph S. Kitamirike	- CEO
	A.R Kalan ***	
	Richard Byarugaba	
	Geoffrey Onegi Obel	
	Kenneth Kitariko	
	Paul Bwiso	
	Maxwell Ibeanusi *	
	Ashok Kumar Garg ***	
	Robert Baldwin ****	
	* Nigerian	
	***Indian	
	****American	
SECRETARY	Rossette C. Kania 4th Floor, The Prism Building Plot 71, Kampala Road, P. O. Box 23552 Kampala	
REGISTERED OFFICE	4th Floor, The Prism Building Plot 71, Kampala Road, P. O. Box 23552 Kampala	
AUDITORS	Deloitte & Touche Certified Public Accountants (Uganda) 3rd Floor Rwenzori House 1 Lumumba Avenue P. O. Box 10314 Kampala	
BANKERS	Citibank Uganda Limited Corporate Banking Division Plot 4 Ternan Avenue P. O. Box 7505 Kampala	
	Stanbic Bank Uganda Limited City Branch P. O. Box 7130 Kampala	
	Crane Bank Limited Crane Chambers Plot 38, Kampala Road P.O Box 22572 Kampala	

GOVERNING COUNCIL



Charles Mbire - Chairman



Richard Byarugaba - Member



G. A. Onegi Obel - Member



Kenneth Kitariko - Member



Maxwelll Ibeanusi - Member



A . R Kalan - Member



Robert Baldwin - Member



Paul Bwiso - Member



Ashok Kumar Garg - Member



Joseph S. Kitamirike - CEO



CHAIRMAN'S REPORT

On behalf of the Board of Directors, we are pleased to present to the shareholders of the Uganda Securities Exchange Ltd (USE), our Annual Report, together with the audited financial statements of the USE for the year ended 31 December 2012.

Main Achievements during the year 2012

During the year 2012, the USE has embraced a number of new initiatives to broaden the Exchange's scope of activities and improve its visibility at the international level. These initiatives fit with the strategic shift of gradually moving away from an equity-based domestic Exchange to a Multi-Asset Class Exchange with a growing international focus. The key initiatives during the year were as follows:

Introduction of the Growth Enterprise Market Segment:

In line with our strategic objective of moving towards a Multi-Asset Class Exchange, we have recently, revamped our Listing Rules by introducing a Growth Enterprises Market Segment to cater for the listing of Small and Medium sized enterprises.

This market segment has been designed for small and medium sized enterprises, which comprise the backbone of our economy small-scale enterprises would generally mean enterprises with less than 50 workers and medium size enterprises would usually mean those that have 50-99 workers.

GEMS will enable small and medium sized firms to raise substantial initial and ongoing capital, while benefiting from increased profile and liquidity within a regulatory environment designed specifically to meet their needs.

Launch of the USE E- System (online service):

The E-system is an online service allowing existing Securities Central Depository (SCD) users to check their balances and retrieve their statements. It is secure and facilitates self registration and email notification for transactions and corporate actions.

The E-system also includes an Initial Public Offer (IPO) application module which is an online tool used during an IPO application process. It streamlines and validates the collection of SCD user data for the broker community who act as Securities Central Depository Agents (SCDA). The use of the IPO module is secure and also requires the applicant to already hold an SCD account at the exchange.

The IPO module was successfully used during the UMEME IPO. The success rate of online application rates was over 99% compared to 30% of paper based applications.

These initiatives will go a long way in improving the visibility of the USE on the international front, open up new avenues for the USE and contribute to scale up the activities and revenues of the USE in the near future.

Financial Performance for 2012

Total revenue of the USE for the year 2012, increased by 119 per cent to UGX2.96bn (2011 – UGX1.67bn). The increase in the revenue is mainly attributable to the fact that during the year we successfully revised the fees rules upwards to better reflect the value proposition of the Uganda Securities Exchange to its issuers. Additionally, the USE also officially admitted the securities of Umeme Limited to the main investment market segment of the USE.

Operating and administrative expenses were contained at UGX2.31bn, indicating a slight increase of 2.7 per cent (FY 2011 – UGX2.16bn). This resulted in Net Profit after Tax of UGX457m, compared to a loss of UGX 596m in 2011.

Consequently, shareholders' funds increased by UGX320m from UGX1.96bn in 2011 to UGX2.28bn in 2012.

Auditors

The Auditors, Messrs Deloitte have expressed their willingness to continue in office and a resolution proposing their re-appointment will be submitted at the next Annual Meeting of the USE.

Acknowledgement

Finally, I would like to thank the USE staff and my colleagues on the Board and Board Subcommittees for their contribution to a very successful 2012 for the USE.



Charles Mbire

Chairman



CHIEF EXECUTIVE OFFICER'S REPORT

Introduction

We are pleased with our overall business performance in 2012 which is in line with our strategic plan and focus on providing efficient service to our customers and sustainable returns to our shareholders.

Key Achievements during the year

Launch of the GEMS market Segment

We introduced an attractive and competitive listing framework for small and medium enterprises (the growth enterprise market segment - GEMS). We anticipate that with the recent oil finds, Uganda will experience substantial expansion of manufacturing and service industries in the coming years. Many of these companies will require capital to perform their activities and the GEMS market segment on the USE offers them the appropriate listing and capital raising framework to fund their activities.

The GEMS' listing requirements have been pitched to accommodate the listing of newly-formed companies which may not yet have an operating track record, but which demonstrate a solid business case. The prelisting requirements and post-listing disclosure requirements for these companies, however, reflect global standards of disclosure to ensure that these companies can effectively attract investors' interest. Other key benefits relate to very competitive listing fees and fast turnaround time to process listing applications.

Regulatory Framework

In a bid to unbundle the USE Rules, we successfully completed the USE Fees Charges and Penalties Rules and the USE Growth Enterprise Market Segment Rules. The two sets of new rules were approved by the Capital Markets Authority and took effect in June 2012.

The USE Fees Charges and Penalties Rules 2012 provide for the fees associated with; membership applications, listing applications, charges relating to trading, the Securities Central Depository system as well as stipulating the penalties for all the above mentioned categories.

The Rules which regulate the Growth Enterprise Market Segment replaced the Alternative Investment Market Segment and have provided for a less stringent and flexible regulatory environment which attracts the listing of high growth companies looking to raise long term risk capital and enhance their portfolio.

Future Undertakings

A number of important initiatives have been earmarked during the next 1 months to scale up the activities of the Uganda Securities Exchange.

- Regional Cooperation
- Extending the USE's reach at the international level through global data vendors
- The Inter depository transfer mechanism
- Sensitising investors about the Securities Exchange and its role in raising of funding for businesses.
- Automation of corporate actions including rights issues
- Revamping of the USE website

Acknowledgement

We would like to express our thanks to all the stakeholders who have supported the USE's evolution, namely the Capital Markets Authority, the Listed Companies, the Investment Dealers, Asset and Fund Managers, the members of the USE Committees and the Investment Community.

Last but not least, the Chairman and the Board of Directors have been instrumental in charting the change process, while the Management and the Staff of the USE through their hard work and dedication, have actually implemented the change.



Joseph S. Kitamirike

Chief Executive

During the 2012 financial year, Mr Ashok Kumar Garg was appointed in September 2012 and replaced Mr Pramod K Gupta.

In its technical work, the Governing Council for the period under review took a decision to restructure the Board Committees with the aim of easing the process of convening meeting, streamlining the business and ensuring the development of rules as a mainstream activity for the Exchange.

The Uganda Securities Exchange Board now comprises of four Committees; the Business Conduct Committee, The Finance and Compensation Committee, The Audit and Risk Committee and the Rules Committee.

Blood donation drive

The Uganda Securities Exchange hosted a blood donation drive at its office on Workers House in Kampala. The blood donation drive was organised in partnership with Nakasero Blood Bank to help supplement blood reserves in the country. Over 100 individuals registered as donors and over 50 donated blood during the drive, including members of the bank's staff and also individuals working in offices in the vicinity of Workers' House.

USE CEO Mr J. Kitamirike said:"We are extremely proud of the staff members who organised this blood donation and applaud our staff and many people from our neighboring offices who are now registered blood donors. I would also like to thank Nakasero Blood Bank for their support without which this could not have been possible.

"Blood donation is an essential contribution to every society and it is particularly important as blood reserves require consistent inflows to help those in need. It is a simple process and takes each person just around 45 minutes, but it can add years to a recipient's life."

Run for Cancer

In our quest for continued service to the community, the USE in partnership with Rotary in Uganda Cancer Programme and other Rotarians participated in the Cancer Run. The run was held on 26th August 2012 to raise awareness and funds for the construction of a breast, cervical and prostate cancer ward at St Francis Hospital, Nsambya. The event was coordinated with Mr Stephen Mwanje, the Chairman of the Rotary in Uganda Cancer Programme and also past District Governor for District 9200 (Eritrea, Ethiopia, Kenya, Tanzania and Uganda).



USE STAFF MEMBERS AFTER DONATING BLOOD.

The East African Securities Exchanges Association held its 22nd consultative meeting in July 2013 (EASEA) with successful discussions being held on a number of topics including; the activation of the regional inter depository transfer mechanisms, adoption of proposals for regional standards for a broker back office system, regional publicity campaigns, regional stock broker guidelines and regional IPO's.



The Chief Executive, Mr. Joseph S. Kitamirike, giving opening remarks at the Umeme listing function.

Future Outlook

The Legal and Compliance Department continues to work on unbundling the rules of the Exchange to create a distinct set of regulations specific to each market segment.

The eventual automation of the market will involve implementation of new rules for the automated trading platform that will not only empower investors but also lead to the integration of the regional exchanges trading platforms thereby enhancing regional trade traffic. Demutualization efforts continue to take effect with the aim of evolving towards new corporate, legal and business models for the Exchange.

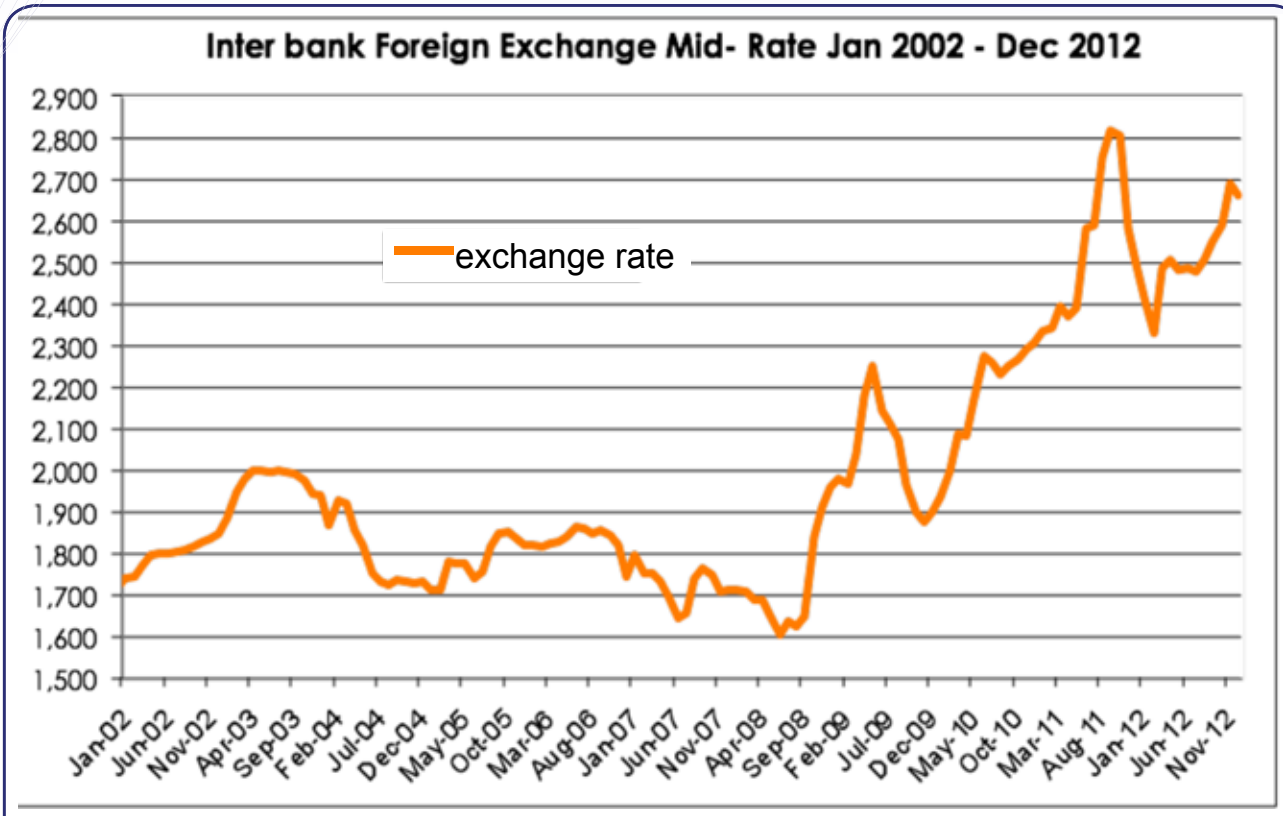
At the beginning of the year, Bank of Uganda (BOU) started the year to a slow ease to tighten monetary policy that had been adopted for most of 2011. During the year, the BoU reduced the Central Bank Rate (CBR) from 21 per cent in March to 20 per cent in June 2012 and eventually to 12 per cent in December 2012. This was motivated by the decline in inflation and the need to boost economic activity. The lowering of the CBR thus reflected efforts by the BOU to encourage commercial banks to reduce their lending rates in order to increase the growth of their lending to the private sector which has remained weak since September 2011 due to high lending rates. In response, the commercial banks reduced their lending rates marginally from 27.6 per cent in March to 27 per cent in June and 23.2 per cent in December 2012.

Inflation – Domestic and Global Developments

Inflationary pressures continued to ease throughout the year under review and eventually hit the single digit mark at the end of the year. Headline inflation fell consistently from 21.2 per cent in March 2012 to 18 per cent in June and 5.5 per cent in December 2012, while core inflation also declined from 23.6 per cent to 4.6 per cent in the same period. Food inflation continued the downward trend that began in March, and ended at 7.3 per cent in December reflecting improved supplies with the onset of the rainy season. The most spectacular decline, however, was inflation in Electricity, Fuel and Utilities (EFU) which fell by 8.3 percentage points to 12.9 per cent in December 2012. This mainly reflected a decline in oil prices that had risen early in the first quarter but have been steadily falling since April to an 18 month low in June.

Foreign Exchange Rates – Shilling steady

The shilling remained volatile against the US dollar to trade at UGX 2,484. 36 in June 2012 from UGX 2,485.02 in March 2012. By December 2012, the shilling had settled at UGX 2,688.17. This marked a reversal in the trend as the shilling, on an average basis had steadily appreciated since October 2011. This points to a recovery in capital inflows and a reduction in demand for foreign exchange from the major sectors (energy and telecommunications) that made it possible to meet the available supply.



Source: Bank of Uganda

EQUITY MARKET PERFORMANCE

Secondary market activity this year performed slower than the previous year, with turnover in 2012 registering Ushs 26.4bn from Ushs 41bn of the previous year – representing a daily average of approx. Ushs 110m. Number of shares traded rose to 345 million shares compared to 168 million traded in 2011. While the total number of deals recorded were 3,668 down from 4,748 in 2011.

Turnover performance per counter

The newly listed UMEME Limited dominated turnover activity in the last quarter of the year, with the counter posting 47.5 per cent of the total turnover. Stanbic Bank Uganda Ltd in second position closed at 31.4% per cent while New Vision Limited, Bank of Baroda Uganda, DFCU Group and Uganda Clays Limited accounted for 7.4 per cent, 5.8 per cent, 3.9 per cent and 2.9 per cent respectively. British American Tobacco Uganda, National Insurance Corporation and Nation Media Group had minimal activity which resulted into 0.8 per cent, 0.4 per cent and 0.02 per cent.

Volume traded per counter

Stanbic Bank Uganda Ltd remained the most active counter with the highest record of volume traded and this was mainly due to the second bonus issue that was declared to shareholders. The counter accounted for 76.9 per cent of the volume, followed by UMEME with 13.2 per cent and Uganda Clays Limited at 5.7 per cent. Bank of Baroda Uganda, National Insurance Corporation and New Vision Limited posted 1.9 per cent, 0.93 per cent and 0.91 per cent, while DFCU Group and BATU scooped 0.3 per cent and 0.03 per cent respectively.

Annual Volume Comparison (Calender Years) 2007 - 2012

	Turnover (Ushs)	Volume	Deals
2007	85,203,921,340	484,112,529	14,338
2008	89,770,590,595	216,938,311	15,659
2009	19,739,110,145	123,231,889	5,698
2010	42,047,148,495	226,537,341	4,960
2011	40,784,908,620	168,299,763	4,748
2012	26,440,318,825	345,054,996	3,668

Source: USE Product Markets Department

TRADING VOLUMES AND ACTIVITY ON A QUARTELY BASIS:

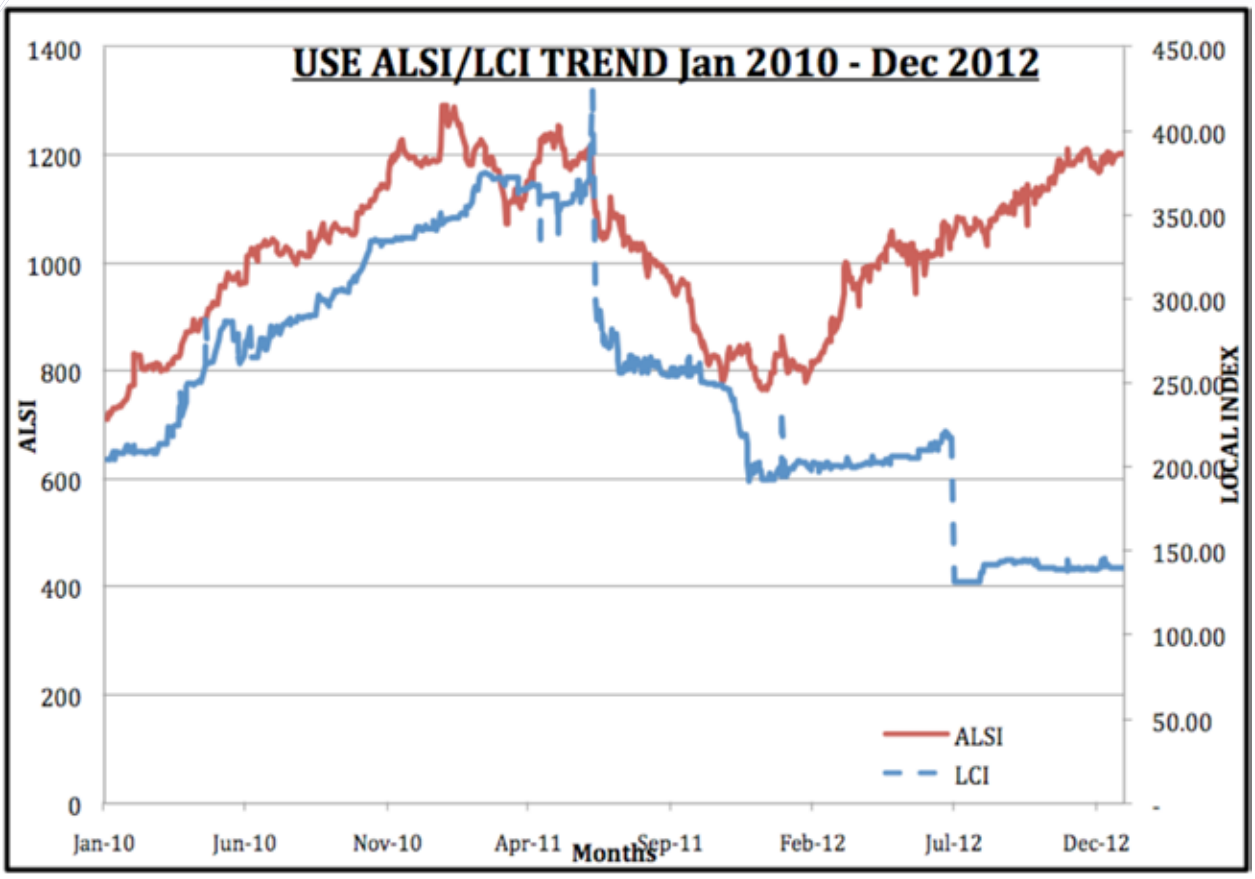
January – December 2012

	1st Quarter	2nd Quarter	3rd Quarter	4th Quarter
Volume Traded	30,822,478	19,929,235	54,808,456	239,494,827
Turnover (Ushs)	3,514,954,340	2,109,456,550	2,513,658,510	18,302,249,425
No. of Deals	850	848	873	1,097
Trading Days	61	60	62	57
Daily Average Turnover (Ushs)	57,622,202	35,157,609	40,542,879	321,092,095
Daily Avg. no. of trades	13.9	14.1	14.1	19.3
Market Capitalization (Ushs. bn)	12,116.6	12,830.5	13,971.4	15,948.5
USE All Share Index	993.8	1046.5	1139.6	1203.4
LSI – Local Share Index	195.1	215.3	222.4	193.5

Source USE Product Markets Department

USE Index Performance

The All Share Index (ALSI) in year 2012 maintained a stable outlook in the first quarter of the year despite the increased participation on the equities segment. The ALSI opened at 832.59 in January and rose further to 992.32 in March. In the second quarter the Index was sustained at an average mark of 1,071.85 before rising to 1,134.73 in September, and 1,186.58 in October respectively. The ALSI crossed the 1,200 mark in November due to price appreciation across all the listed stocks as well as the introduction of the Umeme listing which moved the Index to 1,203.42 at the end of the year. The Local Company Index (LCI) had declining positions compared with the previous year. The first quarter posted 190.97 and 200.16 in the second quarter. In the third and fourth quarter the LCI oscillated at between 193.65 and 222.43 before closing the year at 193.5.



Source: *USE Product Markets Department*

Treasury Bonds Secondary Market Activity:

Trading on the government bond secondary market recorded a turnover of **Ushs 373,645,100,000** up from **Ushs 105,350,900,000** that was recorded in the pervious year**.**

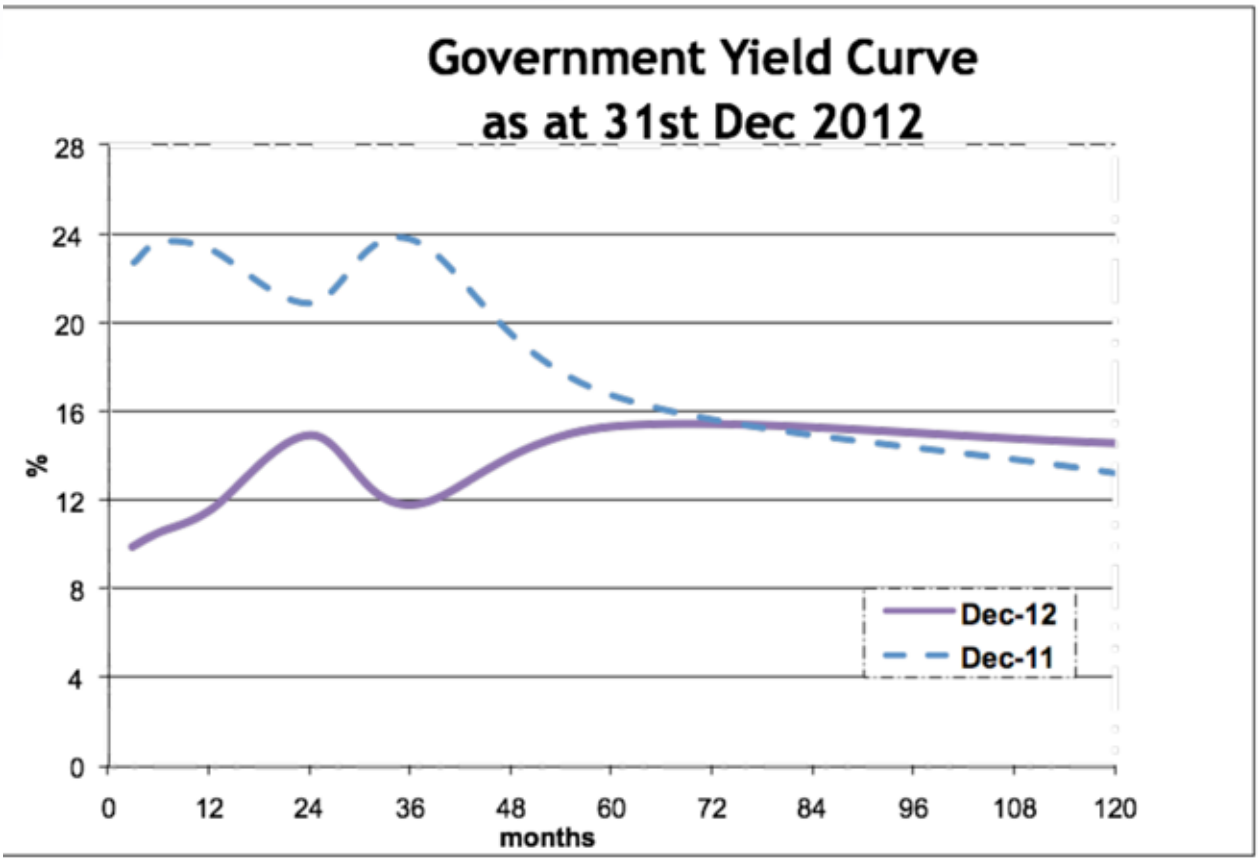
Corporate Bond Secondary Market Activity:

Activity was recorded on the Corporate Bond Segment with HFB, SBU, EADB and PTA bonds recording a total turnover of **Ushs. 98.1billion**. The table below shows the details of trading activity in Corporate-bonds

Corporate Bond Activity – Year To-date January – December 2011/2012

	JAN –DEC 2011	JAN – DEC 2012	% CHANGE
Volume Traded (Ushs Million)	709.4	98.1	- 86.2
Turnover (Ushs.bn)	73.3	9.9	- 86.5
No. of Deals	12	3	
Trading Days	5	3	
Daily Avg.Turnover (Ushs)	14.7	3.3	- 77.6

Source: USE Products and Markets Department



Source: Bank of Uganda

UMEME Listing

During the year, admission to listing on the main investment market segment was granted to UMEME Limited. Shares were listed and co mmenced trading on the secondary market on 30th November 2012.



The Chief guest, the Vice President of the republic of Uganda delivering his speech at the Umeme listing.

Stanbic Bank Uganda issued additional shares on the USE

On August 9, 2012, Stanbic Bank Uganda (SBU) issued additional shares on the USE as its second bonus offer after the previous one done in 2011. The second offer is as a result of deliberations that were concluded at the SBU Annual General Meeting (AGM) in May 2012, where shareholders agreed to increase the authorized share capital of the company from 10.2bn to 51.2bn shares. The shareholders also approved the 4:1 ratio which was credited to the investors' accounts.



The Chairman of Stanbic Bank, Mr. Hannington Karuhanga, ringing the bell at the Stanbic Bank Uganda bonus shares listing.

African Development Bank Bond listing

The African Development Bank issued a currency bond on the USE's fixed income securities market segment, the currency bond becomes the first of its kind in the region, and the bank intends to issue more of such bond across the region.

Treasury Bond Listings

Twelve Treasury bonds with a total value of Ushs 1,035bn were listed on the bourse, although secondary market trading was mainly effected by the primary dealers.

GEMS Rules

The GEMS **(Growth Enterprise Market Segment)** Rules were introduced in the market to govern/ regulate those companies with a potential to list on the Market. The rules will be applicable to issuers/ companies intending to seek approval to issue securities on a segment other than the main investment market segment. These rules replace the AIMS (Alternative Investment Market Segment) rules.

The Information Systems (IS) department at the Uganda Securities Exchange (USE), is one that nurtures creativity, change and holds the core principles of the exchanges strategy (2011 – 2015) at every stage of growth and innovation. Key guiding objectives include but are not limited to:

i) Enhancing the image of the USE;

ii) Enhancing the technological infrastructure of the Exchange;

Achievements during 2012

During this review period, the exchange has rolled out more initiatives to stream line communication and automate application processes. Some of the key initiatives are highlighted below;

a). Online Content and the USE Website

The USE website; (www.use.or.ug) continues to be the primary communication tool of the exchange. Along with daily trade reports and statistics, key industry announcements are made available on the website.

b).The SCD E-System:

The SCD E-system is an online service allowing existing Securities Central Depository (SCD) users to check their balances and retrieve their statements. It is secure and also facilitates the following:

- Self Registration (requires an existing SCD account)
- Email notifications on Transactions, bonuses and dividends.

c). Initial Public Offering (IPO) application module:

The IPO module is part of the E-system mentioned in part b). The IPO module is an online tool used during an IPO application process. It streamlines and validates the collection of SCD user data for the broker community who act as Securities Central Depository Agents (SCDA). The use of the IPO module is secure and also requires the applicant to already hold an SCD account at the exchange.

The IPO module was successfully used during the UMEME IPO. The success rate of online application rates exceeded 99% compared to 30% of paper based applications. This is because the IPO module is able to validate existing user data like the SCD unique account number.

d). The File Share

The file share is an online portal storing reports and files. The reports and files would have been compiled after over night or end of day scripts were automatically generated.

With this system, the USE's partners are able to access tailored forms securely via File Transfer Protocol (FTP).

Future plans 2013 and beyond

The IS department will work to enhance the IT service delivery by moving to an IT Service Management structure with operational and communication tools. The following are deliverables that will make up the service:

- The Rights Module: The rights module will be part of the E-system mentioned in b). The Rights module is an online tool used during a rights application process. It streamlines and validates the collection of SCD user data for the broker community who act as Securities Central Depository Agents (SCDA). The use of the rights module is secure and also requires the applicant to already hold an SCD account at the exchange. Online application processes improve efficiency as observed during the UMEME IPO applications via the IPO module.

- Incident Management tools: These will include an in house help desk ticketing system combined with a governing policy)

- Establishment of service level of agreements

- Implementation of a Business Continuity Plan

- Enhancement of security and efficiency of all internal IT resources.

- Upgrading of the USE website to provide a remarkable user experience including automation for administrators while maintaining a secure and reliable platform.

- Synchronising the USE website with social media, benefiting from the exposure and publicity social media presents.

Post 2012

In line with the corporate strategy 2010 – 2015, one of the Initiatives is to enhance the technology infrastructure of the exchange. To this end, the IS department will implement the anticipated Automated Trading System. This will help elevate the USE is into the ranks of other frontier markets, a core initiative in the five year strategy plan. With the ATS implemented, the USE will become efficient in transacting, relevant in purpose and popular enough to engage different players. Integration with the Central bank via RTGS network is a key milestone to overcome prior to full automation. Integration with the central banks SWIFT network will allow for Straight Through Processing (STP). STP reduces settlement periods which improves efficiency.

UGANDA SECURITIES EXCHANGE LIMITED
REPORT OF THE GOVERNING COUNCIL
FOR THE YEAR ENDED 31 DECEMBER 2012

The directors present their report together with the audited financial statements of the company for the year ended 31 December 2012.

PRINCIPAL ACTIVITIES

Uganda Securities Exchange Limited is a company limited by guarantee and incorporated in Uganda under the Ugandan Companies Act. The principal activity of the entity is to provide, maintain and regulate suitable premises and facilities for conducting all the business of securities exchange.

	2012 Ushs'000
FINANCIAL RESULTS	
Profit before taxation	642,142
Taxation charge	(184,791)
Profit for the year transferred to retained earnings	457,351

GOVERNING COUNCIL

The present membership of the Governing Council is set out on page 2.

The changes to the Governing Council during the year are as indicated below;

Richard Byarugaba	Joined in February 2012
Ashok Kumar Garg	Joined in October 2012
Pramod Gupta	Left in October 2012

SECRETARY

Rossette C. Kania

AUDITORS

Deloitte & Touche have expressed their willingness to continue in office in accordance with Section 159(2) of the Ugandan Companies Act (Cap.85).

BY ORDER OF THE BOARD

Secretary

Kampala

29th July 2013

UGANDA SECURITIES EXCHANGE LIMITED
STATEMENT OF GOVERNING COUNCIL'S RESPONSIBILITIES

The Ugandan Companies Act requires the Governing Council to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company as at the end of the financial year and of the operating results of the company for that year. It also requires the Governing Council to ensure the company keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the company. They are also responsible for safeguarding the assets of the company.

The Governing Council is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards and the requirements of the Ugandan Companies Act, and such internal controls as Governing Council determines are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The Governing Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Ugandan Companies Act. The Governing Council is of the opinion that the financial statements give a true and fair view of the state of the company and of its operating results. The Governing Council further accepts responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the Governing Council to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.

Signed on behalf of the board of Governing Council by;



Member

29th July 2013 2013



Member

29th July 2013 2013

INDEPENDENT AUDITORS' REPORT
TO THE MEMBERS OF UGANDA SECURITIES EXCHANGE LIMITED

Report on the Financial Statements

We have audited the accompanying financial statements of Uganda Securities Exchange Limited, set out on pages 7 to 32, which comprise the statement of financial position as at 31 December 2012, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, together with the summary of significant accounting policies and other explanatory notes.

Directors ' Responsibility for the Financial Statements

The directors are responsible for the preparation and fair presentation of these financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Ugandan Companies Act, and for such internal controls as directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the company's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the company's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence that we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the accompanying financial statements give a true and fair view of the state of financial affairs of the company as at 31 December 2012 and of its profits and cash flows for the year then ended in accordance with International Financial Reporting Standards and comply with the Ugandan Companies Act.

INDEPENDENT AUDITORS' REPORT
TO THE MEMBERS OF UGANDA SECURITIES EXCHANGE LIMITED (Continued)

Report on Other Legal Requirements

As required by the Ugandan Companies Act, we report to you based on our audit, that:

i) we have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purpose of our audit;

ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and

iii) the company's statement of financial position (balance sheet) and statement of comprehensive income (profit and loss account) are in agreement with the books of account.

Deloitte & Touche

Certified Public Accountants (Uganda)

29th July 2013

Kampala

UGANDA SECURITIES EXCHANGE LIMITED
STATEMENT OF COMPREHENSIVE INCOME
AT 31 DECEMBER 2012

	Notes	2012 Ushs'000	2011 Ushs'000
Fees and commissions	5	2,164,471	990,116
Revenue grant	6	175,000	175,000
Capital grants realised	7	136,844	136,846
Other income	8(a)	252,990	268,250
Interest income	8(b)	232,310	97,067
Gross income		2,961,615	1,667,279
Operating expenses	9	(312,717)	(295,790)
Administration expenses	10	(1,019,816)	(1,016,044)
Staff costs	11	(986,940)	(951,658)
Profit / (loss) before taxation	12	642,142	(596,213)
Taxation charge	13(a)	(184,791)	-
Profit / (loss) for the year		457,351	(596,213)
Other comprehensive income		-	-
TOTAL COMPREHENSIVE INCOME / (LOSS) FOR THE YEAR		457,351	(596,213)

UGANDA SECURITIES EXCHANGE LIMITED
STATEMENT OF FINANCIAL POSITION
AT 31 DECEMBER 2012

	Notes	2012 Ushs'000	2011 Ushs'000
ASSETS			
Non-current assets			
Intangible assets	14	54,545	179,870
Equipment	15	194,706	146,159
Unquoted investments	16	65,176	65,176
Investment in subsidiary	17	-	-
		314,427	391,205
Current assets			
Trade and other receivables	18	380,620	219,317
Due from related parties	19(b)	105,122	42,484
Fixed deposit	20(a)	1,586,000	-
Treasury bills	20(b)	-	1,485,434
Bank and cash balances		506,436	270,768
		2,578,178	2,018,003
Total assets		2,892,605	2,409,208
EQUITY AND LIABILITIES			
Capital and reserves			
Capital grants	7	-	136,844
Retained earnings		2,278,692	1,821,342
Total equity		2,278,692	1,958,186
Non-current liabilities			
Deferred tax liability	13(c)	21,636	-
Current liabilities			
Trade and other payables	21	429,121	451,022
Corporation tax payable	13(d)	163,156	-
		592,277	451,022
Total equity and liabilities		2,892,605	2,409,208

The financial statements on pages 7 to 32 were approved by the Governing Council on 2013 and signed on its behalf by:

Member

Member

UGANDA SECURITIES EXCHANGE LIMITED

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2012

	Capital grants Ushs'000	Retained earnings Ushs'000	Total Ushs'000
At 1 January 2011	273,690	2,417,555	2,691,245
Amortisation of capital grants (note 7)	(136,846)	-	(136,846)
Total comprehensive loss for the year	-	(596,213)	(596,213)
At 31 December 2011	136,844	1,821,342	1,958,186
At 1 January 2012	136,844	1,821,342	1,958,186
Amortisation of capital grants (note 7)	(136,844)	-	(136,844)
Total comprehensive income for the year	-	457,351	457,351
At 31 December 2012	-	2,278,692	2,278,692

UGANDA SECURITIES EXCHANGE LIMITED

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2012

	2012 Ushs'000	2011 Ushs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit / (loss) before taxation	642,142	(596,213)
Adjusted for:		
Depreciation	51,759	81,681
Amortisation	165,189	157,571
Amortisation of capital grants	(136,844)	(136,848)
(Loss) / gain on disposal of equipment	(606)	367
	721,640	(493,442)
Changes in working capital balances		
Increase in trade and other receivables	(161,303)	(23,828)
(Decrease) / increase in amounts due from related parties	(62,638)	22,152
(Decrease) / increase in trade and other payables	(21,901)	237,397
Net cash generated from / (used in) operating activities	475,798	(257,721)
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	(100,306)	(87,810)
Purchase of intangible assets	(39,864)	(9,346)
Proceeds from disposal of assets	606	-
Receipts / (investment) in Treasury Bills	1,254,585	(1,200,000)
Investment in fixed deposits	(1,586,000)	-
Interest earned on Treasury Bills	230,849	14,566
Net cash generated from / (used in) investing activities	(240,130)	(1,282,590)
Increase / (decrease) in cash and cash equivalents	235,668	(1,540,311)
Cash and cash equivalents at beginning of year	270,768	1,811,079
Cash and cash equivalents at end of year	506,436	270,768
Represented by:		
Bank and cash balances	506,436	270,768

1 GENERAL

Uganda Securities Exchange Limited is a company limited by guarantee and incorporated in Uganda under the Ugandan Companies Act.

For purposes of Ugandan Companies' Act, the balance sheet has been named as the Statement of Financial Position in these financial statements, and the profit and loss accoount is represented by the Statement of Comprehensive Income

2 ADOPTION OF NEW AND REVISED INTERNATIONAL FINANCIAL REPORTING STANDARDS (IFRSs)

(a) Amendments to published standards effective for the year ended 31 December 2012

The following amendments to IFRSs have been applied in the current year and *have had no material impact* on the amount *and disclosures* reported in these financial statements.

Amendments to IFRS 1, *Severe Hyperinflation*	The amendments regarding severe hyperinflation provide guidance for entities emerging from severe hyperinflation either to resume presenting IFRS financial statements or to present IFRS financial statements for the first time. The amendments had not effect on the company's financial statements as the company's economic environment is not hyperinflationary.
Amendments to IFRS 1, *Removal of Fixed Dates for First-time Adopters*	The amendments regarding the removal of fixed dates provide relief to first-time adopters of IFRSs from reconstructing transactions that occurred before their date of transition to IFRSs. The application of the amendments had no effect on the company's financial statements as the company is not a first-time adopter of IFRS.
Amendments to IFRS 7 Disclosures – *Transfers of Financial Assets*	The amendments to IFRS 7 increase the disclosure requirements for transactions involving transfers of financial assets. These amendments are intended to provide greater transparency around risk exposures of transactions where a financial asset is transferred but the transferor retains some level of continuing exposure in the asset. The application of the amendment had no effect on the company's financial statements as the company did not transfer any such financial assets during the year.

2 ADOPTION OF NEW AND REVISED INTERNATIONAL FINANCIAL REPORTING STANDARDS (IFRSs) (Continued)

(b) New and amended standards and interpretations in issue but not yet effective in the year ended 31 December 2012

The entity has not applied the following new and revised IFRSs that have been issued but are not yet effective:

New and Amendments to standards	**Effective for annual periods beginning on or after**
Amendments to IAS 1 Presentation of Items of Other Comprehensive Income	1-Jul-12
IFRS 9, Financial Instruments	1-Jan-15
IFRS 10, Consolidated Financial Statements	1-Jan-13
IFRS 11, Joint Arrangements	1-Jan-13
IFRS 12, Disclosure of Interests in Other Entities	1-Jan-13
Amendments to IFRS 7 Disclosures - Offsetting Financial Assets and Financial Liabilities	1-Jan-13
Amendments to IFRS 9 and IFRS 7 Mandatory Effective Date of IFRS 9 and Transition Disclosures	1-Jan-15
Amendments to IFRS 10, IFRS 11 and IFRS 12 Consolidated Financial Statements, Joint Arrangements and Disclosure of Interests in Other Entities: Transition Guidance	1-Jan-13
IAS 19, Employee Benefits (as revised in 2011)	1-Jan-13
IAS 27, Separate Financial Statements (as revised in 2011)	1-Jan-13
IAS 28, Investments in Associates and Joint Ventures (as revised in 2011)	1-Jan-13
Amendments to IAS 32 Offsetting Financial Assets and Financial Liabilities	1-Jan-14
Annual Improvements to IFRSs 2009-2011 Cycle	1-Jan-13
New interpretation	
IFRIC 20 Stripping Costs in the Production Phase of a Surface Mine	1-Jan-13

Amendments to IAS 1 Presentation of Items of Other Comprehensive Income

The amendments to IAS 1 introduce new terminology for the statement of comprehensive income and income statement. Under the amendments to IAS 1, the 'statement of comprehensive income' is renamed the 'statement of profit or loss and other comprehensive income' and the 'income statement' is renamed the 'statement of profit or loss'. The amendments to IAS 1 retain the option to present profit or loss and other comprehensive income in either a single statement or in two separate but consecutive statements. However, the amendments to IAS 1 require items of other comprehensive income to be grouped into two categories in the other comprehensive income section: (a) items that will not be reclassified subsequently to profit or loss and (b) items that may be reclassified subsequently to profit or loss when specific conditions are met.

Income tax on items of other comprehensive income is required to be allocated on the same basis – the amendments do not change the option to present items of other comprehensive income either before tax or net of tax.

2 ADOPTION OF NEW AND REVISED INTERNATIONAL FINANCIAL REPORTING STANDARDS (IFRSs) (CONTINUED)

(b) New and amended standards and interpretations in issue but not yet effective in the year ended 31 December 2012 (Continued)

The above amendments are generally effective for annual periods beginning on or after 1 January 2012. Other than the above mentioned presentation changes, the application of the amendments to IAS 1 is not expected to result in any impact on profit or loss, other comprehensive income and total comprehensive income.

IFRS 9 Financial Instruments

IFRS 9, issued in November 2009, introduced new requirements for the classification and measurement of financial assets. IFRS 9 was amended in October 2010 to include requirements for the classification and measurement of financial liabilities and for derecognition.

Key requirements of IFRS 9:

- all recognised financial assets that are within the scope of IAS 39 Financial Instruments: Recognition and Measurement to be subsequently measured at amortised cost or fair value. Specifically, debt investments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal outstanding are generally measured at amortised cost at the end of subsequent accounting periods. All other debt investments and equity investments are measured at their fair value at the end of subsequent accounting periods. In addition, under IFRS 9, entities may make an irrevocable election to present subsequent changes in the fair value of an equity investment (that is not held for trading) in other comprehensive income, with only dividend income generally recognised in profit or loss.
- with regard to the measurement of financial liabilities designated as at fair value through profit or loss, IFRS 9 requires that the amount of change in the fair value of the financial liability, that is attributable to changes in the credit risk of that liability, is presented in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss. Previously, under IAS 39, the entire amount of the change in the fair value of the financial liability designated as fair value through profit or loss was presented in profit or loss.

The directors anticipate that IFRS 9 will be adopted in the company's financial statements for the annual period beginning 1 January 2015 and that the application of IFRS 9 may have a significant impact on amounts reported in respect of the company's financial assets and financial liabilities (e.g the company will classify financial assets as subsequently measured at either amortised cost or fair value). However, it is not practicable to provide a reasonable estimate of that effect until a detailed review is done.

New and revised Standards on consolidation, joint arrangements, associates and disclosures

In May 2011, a package of five Standards on consolidation, joint arrangements, associates and disclosures was issued, including IFRS 10, IFRS 11, IFRS 12, IAS 27 (as revised in 2011) and IAS 28 (as revised in 2011).

2 ADOPTION OF NEW AND REVISED INTERNATIONAL FINANCIAL REPORTING STANDARDS (IFRSs) (CONTINUED)

(b) New and amended standards and interpretations in issue but not yet effective in the year ended 31 December 2012 (Continued)

New and revised Standards on consolidation, joint arrangements, associates and disclosures (Continued)

Key requirements of these five Standards are described below.

IFRS 10 replaces the parts of IAS 27 Consolidated and Separate Financial Statements that deal with consolidated financial statements. SIC-12 Consolidation – Special Purpose Entities will be withdrawn upon the effective date of IFRS 10. Under IFRS 10, there is only one basis for consolidation, that is, control. In addition, IFRS 10 includes a new definition of control that contains three elements: (a) power over an investee, (b) exposure, or rights, to variable returns from its involvement with the investee, and (c) the ability to use its power over the investee to affect the amount of the investor's returns. Extensive guidance has been added in IFRS 10 to deal with complex scenarios.

IFRS 11 replaces IAS 31 Interests in Joint Ventures. IFRS 11 deals with how a joint arrangement of which two or more parties have joint control should be classified. SIC-13 Jointly Controlled Entities – Non-monetary Contributions by Venturers will be withdrawn upon the effective date of IFRS 11. Under IFRS 11, joint arrangements are classified as joint operations or joint ventures, depending on the rights and obligations of the parties to the arrangements. In contrast, under IAS 31, there are three types of joint arrangements: jointly controlled entities, jointly controlled assets and jointly controlled operations. In addition, joint ventures under IFRS 11 are required to be accounted for using the equity method of accounting, whereas jointly controlled entities under IAS 31 can be accounted for using the equity method of accounting or proportional consolidation.

IFRS 12 is a disclosure standard and is applicable to entities that have interests in subsidiaries, joint arrangements, associates and/or unconsolidated structured entities. In general, the disclosure requirements in IFRS 12 are more extensive than those in the current standards.

In June 2012, the amendments to IFRS 10, IFRS 11 and IFRS 12 were issued to clarify certain transitional guidance on the application of these IFRSs for the first time.

These five standards together with the amendments regarding the transition guidance are effective for annual periods beginning on or after 1 January 2013, with earlier application permitted provided all of these standards are applied at the same time.

The company will apply these amendments prospectively. The directors anticipate that the application of IFRS 10 and IFRS 11 will have no material impact to the company’s financial statements currently. However, the company would have to apply this standard to any such arrangements entered in the course of its expansion strategy. The directors anticipate that the application of IFRS 12 would result in more extensive disclosures in the financial statements.

2 ADOPTION OF NEW AND REVISED INTERNATIONAL FINANCIAL REPORTING STANDARDS (IFRSs) (CONTINUED)

IFRS 13 Fair Value Measurement

IFRS 13 establishes a single source of guidance for fair value measurements and disclosures about fair value measurements. The Standard defines fair value, establishes a framework for measuring fair value, and requires disclosures about fair value measurements. The scope of IFRS 13 is broad; it applies to both financial instrument items and non-financial instrument items for which other IFRSs require or permit fair value measurements and disclosures about fair value measurements, except in specified circumstances. In general, the disclosure requirements in IFRS 13 are more extensive than those required in the current standards. For example, quantitative and qualitative disclosures based on the three-level fair value hierarchy currently required for financial instruments only under IFRS 7 Financial Instruments: Disclosures will be extended by IFRS 13 to cover all assets and liabilities within its scope.

IFRS 13 is effective for annual periods beginning on or after 1 January 2013, with earlier application permitted.

The directors anticipate that the application of the new Standard may affect the amounts reported in the financial statements and result in more extensive disclosures in the financial statements, however, the company is yet to assess IFRS 13's full impact and intends to adopt the standard no later than the accounting period beginning on or after 1 January 2013.

Amendments to IFRS 7 and IAS 32 Offsetting Financial Assets and Financial Liabilities and the related disclosures

The amendments to IAS 32 clarify existing application issues relating to the offset of financial assets and financial liabilities requirements. Specifically, the amendments clarify the meaning of 'currently has a legally enforceable right of set-off' and 'simultaneous realisation and settlement'.

The amendments to IFRS 7 require entities to disclose information about rights of offset and related arrangements (such as collateral posting requirements) for financial instruments under an enforceable master netting agreement or similar arrangement.

The amendments to IFRS 7 are effective for annual periods beginning on or after 1 January 2013 and interim periods within those annual periods. The disclosures should be provided retrospectively for all comparative periods. However, the amendments to IAS 32 are not effective until annual periods beginning on or after 1 January 2014, with retrospective application required.

The directors anticipate that the application of these amendments to IAS 32 and IFRS 7 may result in more disclosures being made with regard to offsetting financial assets and financial liabilities in the future.

IAS 19 Employee Benefits

The amendments to IAS 19 change the accounting for defined benefit plans and termination benefits. The most significant change relates to the accounting for changes in defined benefit obligations and plan assets. The amendments require the recognition of changes in defined benefit obligations and in fair value of plan assets when they occur, and hence eliminate the 'corridor approach' permitted under the previous version of IAS 19 and accelerate the recognition of past service costs. The amendments require all actuarial gains and losses to be recognised immediately through other comprehensive income in order for the net pension asset or liability recognised in the consolidated statement of financial position to reflect the full value of the plan deficit or surplus. Furthermore, the interest cost and expected return on plan assets used in the previous version of IAS 19 are replaced with a 'net-interest' amount, which is calculated by applying the discount rate to the net defined benefit liability or asset.

2 ADOPTION OF NEW AND REVISED INTERNATIONAL FINANCIAL REPORTING STANDARDS (IFRSs) (CONTINUED)

The amendments to IAS 19 require retrospective application.

The directors anticipate that the amendments to IAS 19 will be adopted in the company's financial statements for the annual period beginning 1 January 2013 and that the application of the amendments to IAS 19 will not have an impact on the financial statements because the company does not have defined benefit plans.

Annual Improvements to IFRSs 2009 – 2011 Cycle issued in May 2012

The Annual Improvements to IFRSs 2009 – 2011 Cycle include a number of amendments to various IFRSs. The amendments are effective for annual periods beginning on or after 1 January 2013. Amendments to IFRSs include:

- amendments to IAS 1 Presentation of Financial Statements;
- amendments to IAS 16 Property, Plant and Equipment; and
- amendments to IAS 32 Financial Instruments: Presentation.

IAS 1 Presentation of Financial Statements

The amendments to IAS 1 clarify that an entity is required to present a statement of financial position as at the beginning of the preceding period (third statement of financial position) only when the retrospective application of an accounting policy, restatement or reclassification has a material effect on the information in the third statement of financial position and that the related notes are not required to accompany the third statement of financial position.

The amendments also clarify that additional comparative information is not necessary for periods beyond the minimum comparative financial statement requirements of IAS 1. However, if additional comparative information is provided, the information should be presented in accordance with IFRSs, including related note disclosure of comparative information for any additional statements included beyond the minimum comparative financial statement requirements. Presenting additional comparative information voluntarily would not trigger a requirement to provide a complete set of financial statements.

The directors anticipate that the amendments to IAS 1 will result in the company presenting a statement of financial position at the beginning of the preceding period (third statement of financial position) only when the restatement or reclassification has a material effect on the information in the financial statements.

IAS 16 Property, Plant and Equipment

The amendments to IAS 16 clarify that spare parts, stand-by equipment and servicing equipment should be classified as property, plant and equipment when they meet the definition of property, plant and equipment in IAS 16 and as inventory otherwise.

The directors do not anticipate that the amendments to IAS 16 will have a significant effect on the company's financial statements.

2 ADOPTION OF NEW AND REVISED INTERNATIONAL FINANCIAL REPORTING STANDARDS (IFRSs) (CONTINUED)

IAS 32 Financial Instruments: Presentation

The amendments to IAS 32 clarify that income tax relating to distributions to holders of an equity instrument and to transaction costs of an equity transaction should be accounted for in accordance with IAS 12 Income Taxes.

The directors anticipate that the amendments to IAS 32 will have no effect on the company's financial statements as the company has already adopted this treatment.

IFRIC 20 Stripping Costs in the Production Phase of a Surface Mine

IFRIC 20 Stripping Costs in the Production Phase of a Surface Mine applies to waste removal costs that are incurred in surface mining activity during the production phase of the mine (production stripping costs). Under the Interpretation, the costs from this waste removal activity (stripping) which provide improved access to ore is recognised as a non-current asset (stripping activity asset) when certain criteria are met, whereas the costs of normal on-going operational stripping activities are accounted for in accordance with IAS 2 Inventories. The stripping activity asset is accounted for as an addition to, or as an enhancement of, an existing asset and classified as tangible or intangible according to the nature of the existing asset of which it forms part.

IFRIC 20 is effective for annual periods beginning on or after 1 January 2013. Specific transitional provisions are provided to entities that apply IFRIC 20 for the first time. However, IFRIC 20 must be applied to production stripping costs incurred on or after the beginning of the earliest period presented.

The directors anticipate that IFRIC 20 will have no effect to the company’s financial statements as the company does not engage in such activities.

3 SIGNIFICANT ACCOUNTING POLICIES

The principal accounting policies are set out below:

REVENUE RECOGNITION

Revenue is measured at the fair value of the consideration received or receivable from provision of goods and services. Revenue is reduced for estimated customer returns, rebates and other similar allowances. Fees and commissions are recognised on an accrual basis on delivery of the related service has been provided. Interest income is recognised on an accrual basis by reference to the principal outstanding and at the effective interest rate applicable. Grant revenue is recognised when received by the entity or when the conditions for the grant are met.

EQUIPMENT

Equipment are stated at the cost of bringing the assets to their present location and condition less accumulated depreciation.

DEPRECIATION

Depreciation is calculated to write off the cost of equipment on a straight line basis using the following annual rates: -

Motor vehicles	25.00%
Furniture and fittings	12.50%
Office partitions	33.33%
Computer equipment	33.33%

Gains and losses on disposal of equipment is determined by reference to their carrying amount and are taken into account in determining operating profit.

INTANGIBLE ASSETS

Software

Computer software is measured initially at purchase cost and amortized on a straight-line basis over its estimated useful life.

CAPITAL GRANTS

Grants related to the acquisition of assets are recognised in profit or loss on a systematic basis over the useful lives of the assets acquired.

SUBSIDIARY

A subsidiary is a company in which the company either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations of the entity. The subsidiary, Uganda Securities Exchange Nominees Limited, has not been consolidated in this company as there were no activities during the year.

3 SIGNIFICANT ACCOUNTING POLICIES

IMPAIRMENT OF TANGIBLE AND INTANGIBLE ASSETS

At each end of reporting period, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs. Where a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

IMPAIRMENT OF TANGIBLE AND INTANGIBLE ASSETS (Continued)

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment annually, and whenever there is an indication that the asset may be impaired.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset (cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

FINANCIAL INSTRUMENTS

Financial assets

Financial assets are recognised initially at cost using settlements date accounting. Held to maturity investments are subsequently measured at amortised cost while financial assets held for trading and available for sale are measured at fair value.

3 SIGNIFICANT ACCOUNTING POLICIES (Continued)

FINANCIAL INSTRUMENTS (Continued)

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments and fixed maturities that are not quoted in an active market. Loans and receivables are recognised when cash is advanced to borrowers.

Trade receivables are carried at an anticipated realisable value. An estimate is made for doubtful receivables based on a review of all outstanding amounts at the year end. Bad debts are written off during the year in which they are identified. Specific provision is made for all known bad debts. Bad debts are written off when all reasonable steps to recover them have been taken without success.

Financial liabilities

Borrowings are classified as financial liabilities.

Derecognition

The company derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or it transfers substantially all the risks and rewards of ownership of the financial asset. A financial liability is derecognised when its contractual obligations are discharged or extinguished.

Measurement

Financial instruments are initially recognised at fair value plus transaction costs.

Financials assets at 'fair value through profit and loss' are subsequently carried at fair value. Gains and loss arising from changes in the fair value in those assets are recognised in profit or loss in the period in which they arise. Loans and advances and held to maturity investments are carried at amortised cost using the effective interest rate method.

Financial liabilities are subsequently measured at amortised cost.

PROVISIONS

Provisions are recognised when the company has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount can be made.

RETIREMENT BENEFIT OBLIGATIONS

National Social Security Fund

The company makes contribution to the National security fund (NSSF) which is a statutory retirement

benefit scheme established under the NSSF act. This is a defined contribution scheme established

into which the company contribution 10% of the employees ' gross cash emoluments. The company's contribution is charged to profit or loss as it falls due

3 SIGNIFICANT ACCOUNTING POLICIES (Continued)

TRANSLATION OF FOREIGN CURRENCIES

Assets and liabilities at the end of the reporting period which are expressed in foreign currencies are translated into Uganda Shillings at the rate of exchange ruling at the reporting date. Foreign currency transactions during the year are translated into Uganda Shillings at the rates ruling at the transaction dates. The resulting differences are dealt with in profit or loss in the year in which they arise.

TAXATION

Current taxation is provided on the basis of the results for the year as shown in the financial statements, adjusted in accordance with the Ugandan tax legislation.

Deferred taxation is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income tax.

A deferred income tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the tax asset can be utilised.

CASH AND CASH EQUIVALENTS

For the purposes of the statement of cash flows, cash and cash equivalents comprise cash on hand, deposits held at call with banks, other short-term highly liquid investments and bank overdrafts.

COMPARATIVES

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

4 CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

(i) Critical judgements in applying accounting policies

In the process of applying the company's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Held -to-maturity investments

The company follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity. This classification requires significant judgement. In making this judgement, the company evaluates its intention and ability to hold such investments to maturity. If the company fails to keep these investments to maturity other than for the specific circumstances – for example, selling an insignificant amount close to maturity – it will be required to reclassify the entire class as available-for-sale. The investments would therefore be measured at fair value not amortised cost.

4 CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY (Continued)

(ii) Key sources of estimation uncertainty

At the end of each reporting period, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assts have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss.

Equipment

Critical estimates are made by Governing Council in determining depreciation rates and useful lives for equipment at the end of each reporting period.

		2012 Ushs'000	2011 Ushs'000
5	FEES AND COMMISSIONS		
	Equity listing	1,424,906	348,821
	Bonds listing fees	627,250	492,250
	Brokerage commission	74,315	113,045
	Application and entrance fees	24,000	18,000
	Membership fees	14,000	18,000
		2,164,471	990,116
6	REVENUE GRANT	175,000	175,000

This relates to grant received on an annual basis from Bank of Uganda to assist the company in carrying out its operations.

		2012 Ushs'000	2011 Ushs'000
7	CAPITAL GRANT		
	Opening balance	136,844	273,690
	Realised to income	(136,844)	(136,846)
	Closing balance	-	136,844

This relates to capital grants received from the German Technical Cooperation (GTZ) that was used to purchase computer software. The software is estimated to have a useful life of 3 years.

		2012 Ushs'000	2011 Ushs'000
8	OTHER OPERATING INCOME		
	(a) Other income		
	Securities Central Depository (SCD) income	170,533	207,953
	Miscellaneous income	71,609	59,968
	Website advertising	242	329
	Penalties	10,000	-
	Gains from disposals	606	-
		252,990	268,250
	(b) Interest income		
	Interest earned on investments	230,849	95,285
	Interest earned on bank account	1,461	1,782
		232,310	97,067
9	OPERATING EXPENSES		
	Central Depository System (CDS) operational expenses	124,312	76,646
	Regional meetings and travel	122,979	137,971
	Foreign exchange loss	24,192	11,307
	Motor vehicle and equipment costs	13,602	10,412
	With holding tax	10,684	6,918
	African Securities Exchange Association expenses	6,565	2,145
	Software licenses	5,408	4,094
	Hardware maintenance and repairs	4,765	2,245
	USE courses, seminars and exhibitions	210	2,602
	Board exposure programmes	-	139
	Board meetings and retreats	-	5,407
	Business development	-	35,904
		312,717	295,790

		2012 Ushs'000	2011 Ushs'000
10	ADMINISTRATIVE EXPENSES		
	Rent	430,895	461,328
	Amortisation of intangible assets	165,189	157,571
	Office redesign expenses	92,522	30,500
	Telephone, fax, post and email	70,056	81,952
	Insurance	51,873	48,986
	Depreciation	51,759	81,681
	Advertising and publicity	30,672	4,914
	Electricity	19,630	11,300
	Fuel and lubricants	18,672	18,267
	Auditors' remuneration	15,608	12,100
	General office expense	15,035	14,220
	Printing and publication	13,905	32,687
	External legal services	10,944	590
	Stationery and printing	10,824	19,368
	Corporate social responsibility	6,686	650
	Cleaning and fumigation	6,235	4,588
	Newspapers and magazines	2,180	2,132
	Security	1,965	2,620
	Bank charges	1,735	4,240
	Membership and subscription	1,579	7,371
	Vehicle washing and parking tickets	942	909
	Entertainment	779	739
	Consultancy	131	3,754
	Board allowances	-	13,210
	Loss on disposal of assets	-	367
		1,019,816	1,016,044

		2012 Ushs'000	2011 Ushs'000
11	STAFF COSTS		
	Salaries and wages	796,687	760,101
	Staff welfare	114,905	102,849
	Staff training	7,941	20,565
	NSSF Contribution	67,407	68,143
		986,940	951,658
12	PROFIT / (LOSS) BEFORE TAXATION		
	The profit / (loss) before taxation is arrived at after charging:		
	Auditors' remuneration	15,608	12,100
	Depreciation	51,759	81,681
	Amortisation of intangible assets	165,189	157,571
13	TAXATION		
	(a) Taxation charge		
	Current taxation	163,156	-
	Deferred taxation charge - current	(34,322)	-
	- prior year	55,957	-
		184,791	-
	(b) Reconciliation of taxation charge		
	Accounting profit/(loss) before taxation	642,142	(596,213)
	Tax at applicable rate of 30%	192,643	-
	Tax effect of non-taxable income	(69,255)	-
	Tax effect of non-deductible expenses	5,446	-
	Prior year under provision	55,957	-
		184,791	-

(c) Deferred income tax liability

Deferred income taxes are calculated on all temporary differences under the liability method using the applicable tax rate of 30%. The deferred income tax liability comprises:

	2012 Ushs'000	2011 Ushs'000
Accelerated capital allowances	21,636	-

	2012 Ushs'000	2011 Ushs'000
13 TAXATION (Continued)		
The movement in the deferred income tax liability is as follows:		
1 January	-	-
Income statement charge	21,636	-
Balance at 31 December	21,636	-
(d) Tax payable		
1 January	-	-
Tax charge for the year	163,156	-
31 December	163,156	-

14 INTANGIBLE ASSETS

	SCD Software Ushs'000	Other Software Ushs'000	Work In Progress Ushs'000	Total Ushs'000
COST				
At 1 January 2011	466,247	97,316	-	563,563
Additions	-	-	9,346	9,346
At 31 December 2011	466,247	97,316	9346	572,909
At 1 January 2012	466,247	97,316	9,346	572,909
Additions	39,864	-	-	39,864
Transfer from WIP	9,346	-	(9,346)	-
At 31 December 2012	515,457	97,316	-	612,773
AMORTISATION				
At 1 January 2011	142,322	93,146	-	235,468
Charge for the year	155,260	2,311	-	157,571
At 31 December 2011	297,582	95,457	-	393,039
At 1 January 2012	297,582	95,457	-	393,039
Charge for the year	163,397	1,792	-	165,189
At 31 December 2012	460,979	97,249	-	558,228
NET BOOK VALUE				
At 31 December 2012	54,478	67	-	54,545
At 31 December 2011	168,665	1,859	9,346	179,870

15 EQUIPMENT

	Motor vehicles Ushs'000	Furniture and fittings Ushs'000	Office Partitions Ushs'000	Computer equipment Ushs'000	Total Ushs'000
COST					
At 1 January 2011	176,267	203,094	1,819	206,477	587,657
Additions	-	1,200	-	86,610	87,810
Disposals	-	-	-	(1,650)	(1,650)
At 31 December 2011	176,267	204,294	1,819	291,437	673,817
At 1 January 2012	176,267	204,294	1,819	291,437	673,817
Additions	-	97,956	-	2,350	100,306
Disposals	-	(15,851)	-	(19,348)	(35,199)
At 31 December 2012	176,267	286,399	1,819	274,439	738,924
DEPRECIATION					
At 1 January 2011	126,855	127,241	1,819	191,345	447,260
Charge for the year	44,067	14,306	-	23,308	81,681
Eliminated on disposal	-	-	-	(1,283)	(1,283)
At 31 December 2011	170,922	141,547	1,819	213,370	527,658
At 1 January 2011	170,922	141,547	1,819	213,370	527,658
Charge for the year	5,345	12,717	-	33,697	51,759
Eliminated on disposal	-	(15,851)	-	(19,348)	(35,199)
At 31 December 2012	176,267	138,413	1,819	227,719	544,218
NET BOOK VALUE					
At 31 December 2012	-	147,986	-	46,720	194,706
At 31 December 2011	5,345	62,747	-	78,067	146,159

		2012 Ushs'000	2011 Ushs'000
16	UNQUOTED INVESTMENTS		
	East African Central Depository System	65,176	65,176
	As 31 December 2011	65,176	65,176

The unquoted investment relates to an investment in the East African Central Depository System classified as available for sale. This investment does not have a quoted market price in an active market and therefore its fair value cannot be measured reliably. It has therefore been carried at cost less accumulated impairment if any.

		2012 Ushs '000	2011 Ushs '000
17	INVESTMENT IN SUBSIDIARY		
	Uganda Securities Exchange Nominees Limited		
	Authorised:		
	100 ordinary shares of Ushs 10,000 each	1,000	1,000
	Issued and fully paid:	-	-

The investment in the subsidiary comprises 100 ordinary shares of Ushs10,000 each representing 99% shareholding. The subsidiary was incorporated for purpose of holding securities deposited in the securities central depository in trust for the beneficial owners of the securities.

The financial results of the subsidiary have not been consolidated in these financial statements as there were no activities that could have resulted in accounts being prepared and audited.

		2012 Ushs'000	2011 Ushs'000
18	TRADE AND OTHER RECEIVABLES		
	Trade	282,226	130,526
	Prepayments	39,649	28,662
	Other	58,745	60,129
		380,620	219,317

19 RELATED PARTY BALANCES AND TRANSACTIONS

(a) Related parties include:

African Alliance Uganda Limited
Baroda Capital Markets Limited
Crane Financial Services Limited
Crested Stocks and Securities Limited
UAP Financial Services Limited
Dyer and Blair Uganda Limited
Equity Stock Brokers (U) Limited
MBEA Brokerage Services Limited
Renaissance Capital Limited

The above are related parties because they are member firms. They also have representatives who form the Governing Council of Uganda Securities Exchange.

	2012 Ushs'000	2011 Ushs'000
(b) Amounts due from related parties		
African Alliance Uganda Limited	40,186	7,455
Baroda Capital Markets Limited	5,480	3,714
Dyer and Blair Uganda Limited	17,159	7,064
Crane Financial Services Limited	10,595	1,848
Equity Stock Brokers (U) Limited	8,985	6,922
MBEA Brokerage Services Limited	5,498	5,498
Renaissance Capital (U) Limited	1,479	2,808
Crested Stocks and Securities	15,630	7,108
UAP Financial Services Limited	110	67
	105,122	42,484
(c) Related party transactions comprise		
Brokerage commission	74,315	113,045
	74,315	113,045
(d) Key management compensation		
Salaries and benefits	180,000	180,000
(e) Directors' emoluments		
Board allowances	-	13,210

		2012 Ushs'000	2011 Ushs'000
20	SHORT TERM INVESTMENTS		
	a) Fixed Deposit	1,586,000	-
	b) Government Securities		
	Treasury bills at redemption value:		
	Maturing within 90 days	-	1,500,000
	Less: unearned interest	-	(14,566)
		-	1,485,434
21	TRADE AND OTHER PAYABLES		
	Trade	79,426	57,350
	Accrued expenses	37,830	52,004
	Other	311,865	341,668
		429,121	451,022

22 FINANCIAL RISK MANAGEMENT

The company has exposure to the following risks from its use of financial instruments

a) Credit Risk
b) Market Risk
c) Capital management
d) Liquidity Risk

The company's principal business activity is to provide, maintain and regulate suitable premises and facilities for conducting all the business of the securities exchange.

The company is exposed to various risks, including credit risk, interest risk, liquidity risk and market risk. The company's risk management strategy is based on a clear understanding of the various risks, disciplined risks assessment and measurement procedures and continuous monitoring. The policies and procedures established for this purpose are continuously benchmarked with the clearing and forwarding industry best practices. The management is responsible for the assessment, management and mitigation of risk in the company.

The company overall risk management programme focuses on unpredictability of changes in the business environment and seeks to minimise the potential adverse effect of such risks on its performance by setting acceptable levels of risk. The company does not hedge any risks.

22 FINANCIAL RISK MANAGEMENT (Continued)

(a) Credit risk

The financial management objectives and policies are as outlined below:

The company's credit risk is primarily attributable to trade and other receivables, estimated by the company's management based on prior experience, existing financial and economic factors faced by the debtor and the exit options available.

The credit risk on liquid funds with financial institutions is also low, because the institutions are banks with high credit-ratings.

The amount that best represents the company's maximum exposure to credit as at end of year is made up as follows:

As at 31 December 2012	Fully Performing Ushs'000	Past due Ushs'000	Impaired Ushs'000
Financial assets			
Bank balances	506,020	-	-
Trade and other receivables (less prepayments)	321,875	-	-
Due from related parties	105,122	-	-
	933,017	-	-
As at 31 December 2011			
Financial assets			
Bank balances	270,738	-	-
Trade and other receivables (less prepayments)	159,188	-	-
Due from related parties	42,484	-	-
	472,410	-	-

Trade and other receivables under the fully performing category are paying their debts as they continue trading. The default rate is low. The directors do not consider the credit risk associated with the investment in Government securities to be significant.

b) Market risk

(i) Interest rate risk

The interest rate risk exposure arises mainly from interest rate movements on the company's investments in treasury bills and fixed deposits (note 20). However, this exposure is not deemed significant.

(ii) Foreign exchange risk

The company's operations are predominantly in Uganda where the currency has been relatively stable against the major convertible currencies. Some of the expenses and income are denominated in foreign currency and therefore an exposure exists but not considered material.

22 FINANCIAL RISK MANAGEMENT (Continued)

(c) Capital Management

The company manages its capital to ensure that it will be able to continue as a going concern while maximizing the return to stakeholders through the optimisation of the debt and equity balance. The company's overall strategy remains at maximising stakeholders value.

The company is not subject to any externally imposed capital requirements.

(d) Liquidity risk management

Ultimate responsibility for liquidity risk management rests with the board of directors, which has built an appropriate liquidity risk management framework for the management of the company's short, medium and long-term funding and liquidity management requirements. The company manages liquidity risk through continuous monitoring of forecast and actual cash flows.

As at 31 December 2012	Fully Performing Ushs'000	Past due Ushs'000	Impaired Ushs'000
Financial assets			
Bank and cash balances	506,436	-	-
Trade and other receivables	321,875	-	-
Due from related parties	105,122	-	-
Total	933,433	-	-
Financial liabilities			
Trade and other payables	391,291	-	-
Net liquidity gap	542,142	-	-
As at 31 December 2011			
Financial assets:			
Bank and cash balances	270,768	-	-
Trade and other receivables	159,188	-	-
Due from related parties	42,484	-	-
Total	472,440	-	-
Financial liabilities:			
Trade and other payables	429,121	-	-
Net liquidity gap	43,319	-	-

	2012 Ushs'000	2011 Ushs'000
Equity Listing		
British American Tobacco Uganda Limited	36,038	30,000
Bank of Baroda (U) Limited	65,000	50,000
DFCU Bank Limited	65,000	30,000
East African Breweries Limited	20,000	20,000
Equity Bank Limited	20,000	20,000
Jubilee Holdings Limited	80,000	20,000
Kenya Airways Limited	40,000	20,000
Kenya Commercial Bank Limited	20,000	20,000
National Insurance Corporation Limited	11,191	14,136
Nation Media Group	20,000	20,000
New Vision Printing & Publishing Corporation Limited	28,793	22,185
Stanbic Bank Uganda Limited	65,000	50,000
Uganda Clays Limited	20,531	22,500
Centum Investment Company Limited	40,000	10,000
Umeme Limited	893,353	-
	1,424,906	348,821
Bond listing fees		
Government Treasury bonds	470,000	460,000
Stanbic Bank Uganda	7,500	7,500
Standard Chartered Bank	10,000	10,000
East African Development Bank bond	3,000	3,000
PTA Bond	3,000	3,000
Housing Finance Bank	8,750	8,750
Africa Development Bank	125,000	-
	627,250	492,250

	2012 Ushs	2011 Ushs
Trade and other receivables		
Trade receivables		
British American Tobacco Uganda Limited	5,000	5,000
Uganda Clays Limited	22,781	10,000
Standard Chartered Bank Limited	8,062	13,230
New Vision Printing and Publishing Corporation	5,000	2,500
National Insurance Corporation Limited	15,743	7,503
Jubilee Holdings Limited	15,010	-
Kenya Airways	5,000	-
DFCU Bank Limited	5,000	2,500
Stanbic Bank Uganda Limited	15,630	30,293
Bank of Baroda Uganda Limited	8,000	22,500
Equity Bank Limited	5,000	5,000
Kenya Commercial Bank Limited	26,000	6,000
Housing Finance Bank Limited	7,500	5,000
East African Development Bank Limited	5,500	5,500
Nation Media Group	17,500	-
E&S Africa Trade & Devt Bank (PTA Bank)	8,000	10,500
Centum Investment Company Limited	17,500	5,000
African Development Bank	87,500	-
Umeme Limited	2,500	-
	282,226	130,526
Prepayments		
Motor Vehicle insurance - AIG	3,294	3,659
Medical insurance	21,833	24,648
Office equipment insurance	508	355
ASEA subscription	1,243	-
MTN leased line	1,534	-
UTB	2,723	-
National Social Security Fund	8,514	-
	39,649	28,662
Other receivables		
Private Sector Foundation of Uganda Limited	-	27,874
Refundable deposits	18,610	600
Securities Industry Training Institute	38,085	31,655
Capital Markets Authority	2,050	-
	58,745	60,129

	2012 Ushs'000	2011 Ushs'000
Trade and other payables		
Trade payables		
MTN Uganda Limited	1,418	1,466
Uganda Telecom Limited	801	1,574
National Social Security Fund - electricity	-	3,469
Millennium Information Technology	66,820	50,841
Skynet (U) Limited	106	-
D & M Supermarket Limited	1,026	-
Editions Afrique Oceanie Limited	1,875	-
BroCom Technologies (U) Limited	206	-
The Independent Publications Limited	5,700	-
SWIFT Limited	1,474	-
	79,426	57,350
Other creditors		
Kenneth Katarikawe	80	80
Unidentified credits on bank account	-	17,879
East African Breweries Limited	38,800	38,800
Stanbic Bank Uganda Limited	20,000	
Unearned revenue grant income	87,500	87,500
Guarantee Fund payable	110,333	197,409
Unearned interest income	55,152	-
	311,865	341,668
Accrued expenses		
Audit fees	-	12,100
Statutory deductions	25,930	30,535
Office cleaning	-	600
Newspaper supplies	161	172
Drinking water supply	78	78
Alarm monitoring services	-	218
Telephone, fax and internet	5,164	6,759
Electricity	2,638	1,542
Christmas party expenses	3,859	-
	37,830	52,004